

Section 80C - Deductions on Investments

Section 80C of the Income Tax Act allows a taxpayer to claim deductions of up to Rs 1,50,000 per financial year from their total taxable income. This deduction is only available under the Old Tax Regime.

Eligible investments and expenses under Section 80C include:

- Public Provident Fund (PPF)
- Employee Provident Fund (EPF)
- Equity Linked Savings Scheme (ELSS) mutual funds
- Life Insurance Corporation (LIC) premium payments
- National Savings Certificate (NSC)
- 5-year tax saving Fixed Deposits
- Sukanya Samriddhi Yojana
- Principal repayment of home loan
- Tuition fees for up to two children

The maximum combined deduction across all these instruments is capped at Rs 1,50,000 per year. Amounts invested beyond this limit do not provide any additional tax benefit under 80C.

Section 80C deductions are NOT available if the taxpayer opts for the New Tax Regime under Section 115BAC.

Related sections: Section 80CCC (pension funds) and Section 80CCD(1) (NPS) share the same overall Rs 1,50,000 cap with 80C.